

Procure-to-Pay (P2P) Workflow Summary

SAP S/4HANA Cloud (Public Edition) - Sourcing and Procurement

The procure-to-pay cycle covers all activities from identifying a need for goods or services through to paying the supplier. In SAP S/4HANA Cloud this end-to-end flow is supported by Fiori apps for requisitioning, sourcing, purchasing, receiving, and invoice processing, with AI assistance (the Joule copilot and AI-assisted filtering/summarization) embedded throughout.

Step 1 - Demand and Requisition

- A business user identifies a requirement and creates a Purchase Requisition (PR).
- The PR captures material or service, quantity, delivery date or service period, plant, and account assignment.
- Catalog or contract content standardizes items and pricing; intake scenarios route all requests through one entry point.
- Flexible workflow routes the PR to the appropriate approver(s) based on rules.

Step 2 - Sourcing and Contracting

- The buyer analyzes approved PRs and performs source determination using info records, contracts, or source lists.
- If no valid source exists, the buyer creates RFQs and collects supplier quotations.
- The buyer negotiates, evaluates, and selects the best quotation and, if appropriate, creates or updates a contract.

Step 3 - Purchase Order Creation and Output

- The buyer converts an approved PR or accepted quotation into a Purchase Order (PO).
- The system derives pricing, taxes, and delivery conditions from master data and contracts via the calculation schema.
- Flexible workflow can require PO approval based on value or risk.
- PO output is sent to the supplier by email, EDI, or SAP Business Network.

Step 4 - Goods Receipt or Service Confirmation

- Receiving posts a Goods Receipt (GR) against the PO when goods arrive; stock and valuation are updated with accounting entries.
- For services (Lean Services), a service entry sheet or lean service confirmation is created, reviewed, and approved before payment.

Step 5 - Invoice Processing and Matching

- The supplier submits an invoice referencing the PO and, where applicable, the GR (often via SAP Business Network e-invoicing).
- The system performs two-way or three-way matching and checks price/quantity tolerances.
- Discrepancies block the invoice and route it for resolution.
- The GR/IR clearing account reflects differences between received and invoiced quantities until cleared.

Step 6 - Payment and Reporting

- Once invoices are posted and due, payment runs create payment documents and send payment media to banks.
- Procurement and finance teams use analytics apps to monitor spend, supplier performance, and KPIs (cycle time, blocked invoices, contract utilization).

Sample knowledge-base document - SAP S/4HANA Cloud (Public Edition), Sourcing and Procurement. For demonstration use in the ERP AI Procurement Assistant.